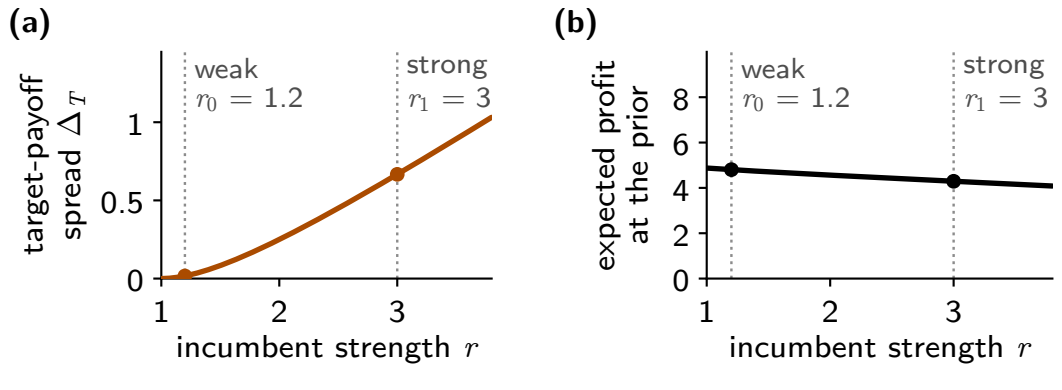
(a)
target-payoff spread Δ_T
weak
$r_0 = 1.2$
strong
$r_1 = 3$
0
0.5
1
1
2
3
incumbent strength r
(b)
expected profit at the prior
weak
$r_0 = 1.2$
strong
$r_1 = 3$
0
2
4
6
8
1
2
3
incumbent strength r